

Value Delivery Model for IT



Current Delivery Model

- ❑ Customer value is difficult to capture. It typically include high level needs, as is issues and to be analysis with inconsistent capture of product features.
- ❑ Business case is built using hard metrics around cost reduction and cycle time reduction.
- ❑ ROI is used to prioritize investments in technology, yet organizations are not able to accurately measure value.
- ❑ Customer needs and features are recorded in documents using inconsistent grammar.
- ❑ Projects are based on silos of customer needs w/ little opportunity to align & address common sets of customer needs across projects using a single solution.

Future Delivery Model

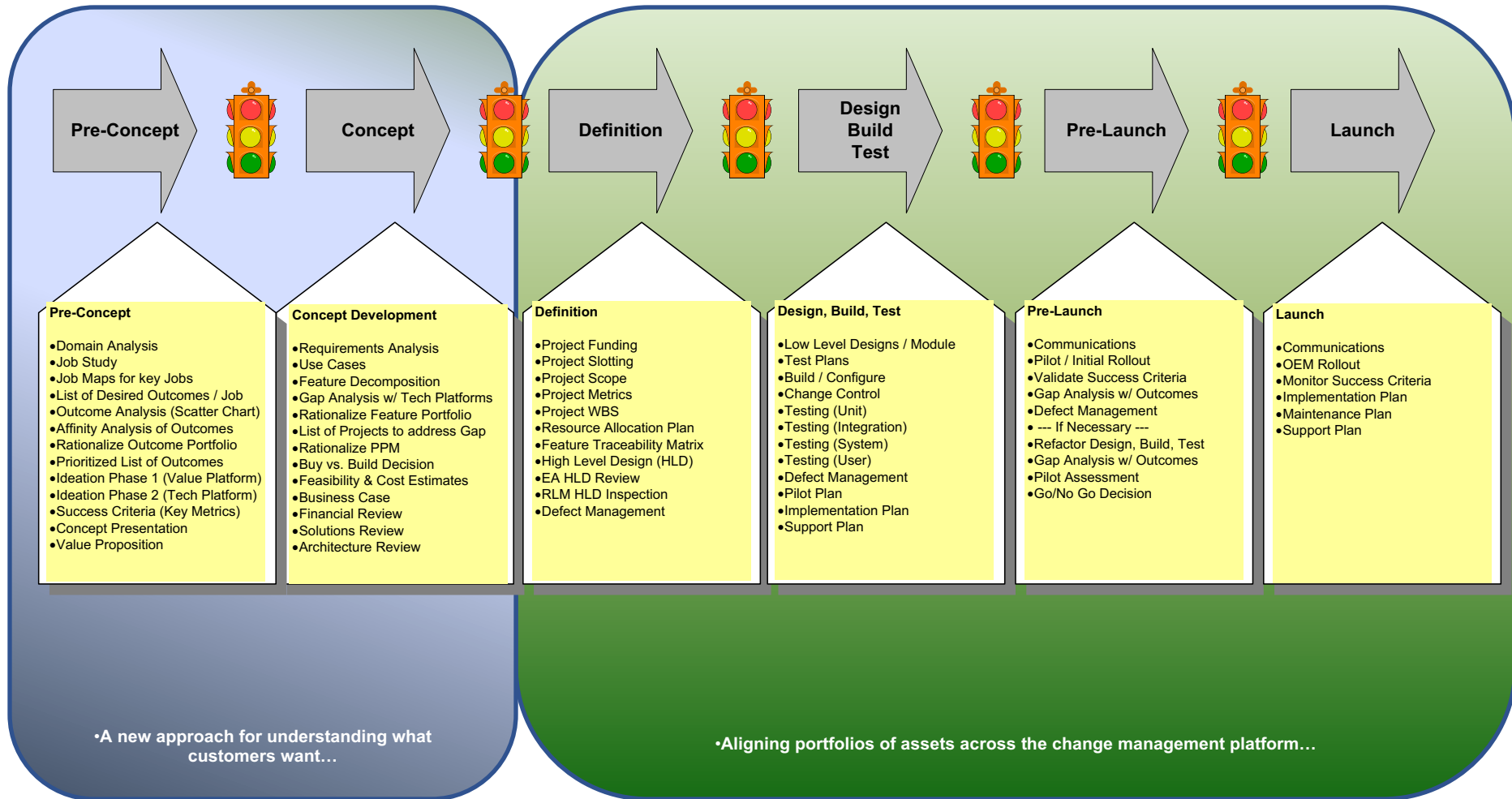
- ❑ Customer needs are captured using a disciplined methodology and value can be accurately measured
- ❑ Customer outcomes are captured in a repository where they can be rationalized and prioritized
- ❑ Business case can be built using hard metrics covering value and cost
- ❑ Customer needs and features are recorded in a repository using a consistent grammar, where they can rationalized and prioritized
- ❑ Projects are based on prioritized opportunities across common sets of customer needs and addressed using a single solution

Paradigm Shift...

- From: *focusing on (product) Features*

To: *focusing on (customer) Outcomes*

IT Value Delivery Lifecycle



Introducing a Value-Focused Front End



- ❑ Using a model-driven approach to define the business model for IT.
- ❑ Aligning value for internal & external customers to drive prioritization of investments.
- ❑ Adopting a PLM mindset for introducing new products & technologies:

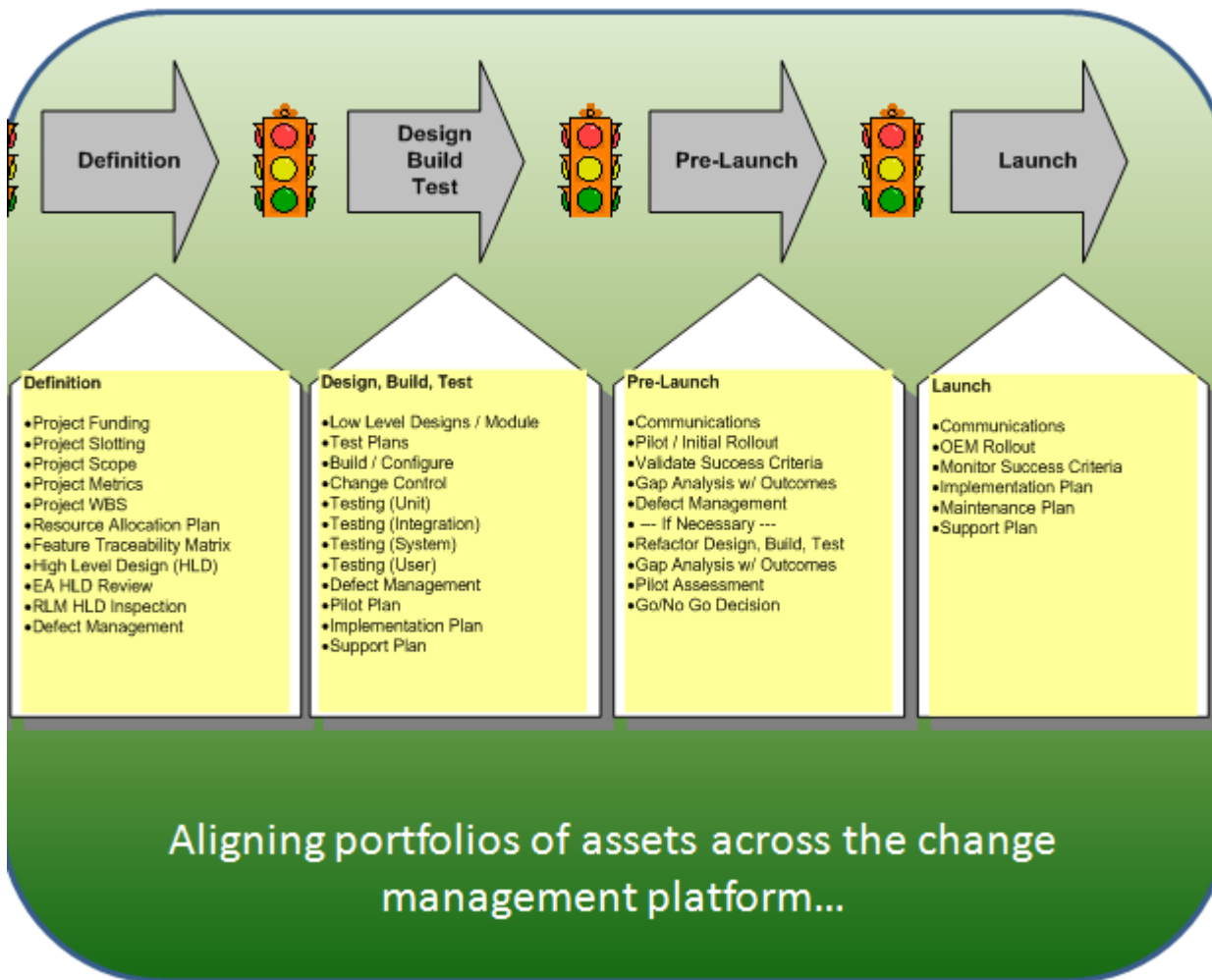
Managed risk

Concept exploration

Innovation experiments

Driving value upfront

Optimized Value Delivery through SDLC



- ❑ Clear value points for prioritizing deliverables.
- ❑ IT performance is measured thru value throughput.
- ❑ Architecture performance is measured thru function point velocity.

Goals for Pre-Concept Stage

- ☐ Understand customer needs from a “job” perspective and capture their desired outcomes
- ☐ Understand level of satisfaction with outcomes – Defines unmet / under met needs and opportunity for value creation
- ☐ Focus Ideation on value delivery (first), then on technology delivery (second) to create solutions that address the value creation opportunities

Unleashing Innovation

❑ Introduction of a two-level ideation process

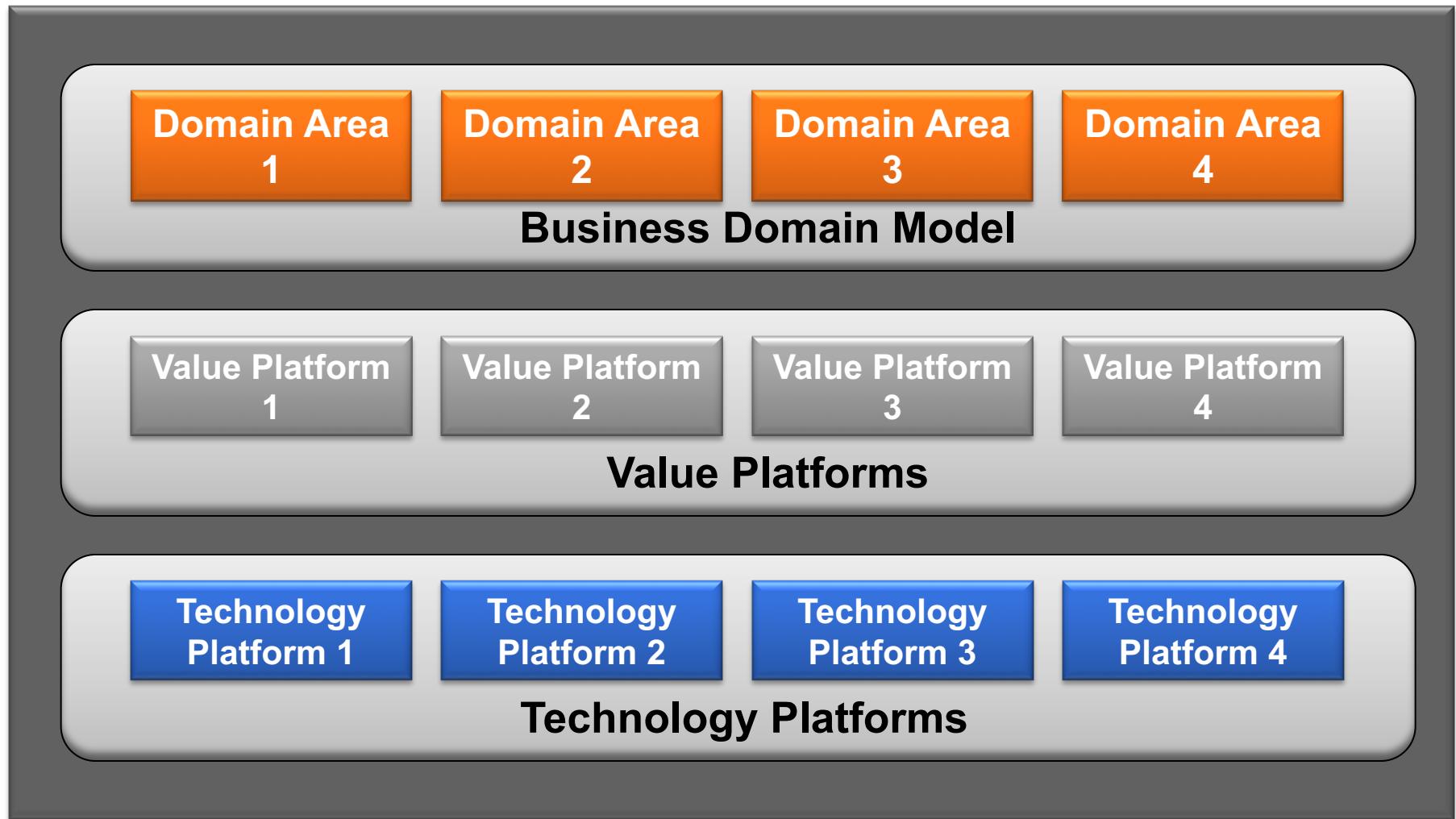
❑ Level 1 involves ideation around the Value Platforms

- This is where we extend existing solutions or create new ones to address the prioritized list of customer outcomes
- Marketing, R&D, Business Stakeholders, Business SMEs

❑ Level 2 involves ideation around the Technical Platforms

- This is where we extend existing technologies or buy new ones (buy vs. build)
- Marketing, R&D, Technical Specialists (internal / external)

Tiered Platform Model



Building a better Business Case

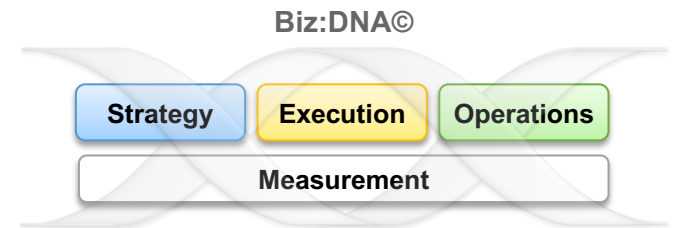
- ☐ Business has a clear understanding of the opportunities we can provide for the customer
- ☐ The customer has a list of prioritized outcomes for which they can measure value
- ☐ Business is now able to focus disciplined ideation into the development lifecycle
- ☐ The Pre-Concept phase gate bridges the business silos to enable collaboration as part of concept definition
- ☐ The Concept phase gate provides the feature decomposition required for more accurate estimates for products/services delivery

Next Steps

- ☐ Socialize the new Development Lifecycle Model amongst the IT Leadership and IT/Business Steering Committee(s)
- ☐ Gain Steering Level approval to include the Pre-Concept phase
- ☐ Socialize the new model amongst the IT Business Analysts & Dev Teams
- ☐ Gain approval from the Leadership to pilot the new model
- ☐ Select a non-critical project for the pilot
- ☐ Gain final approval on pilot project
- ☐ Conduct the pilot
- ☐ Capture feedback from the team
- ☐ Review pilot results
- ☐ Provide training for the appropriate IT team participants
- ☐ Expand the use of the model to other projects

Thank You

Measure what matters
Create and deliver the right value
Build and nurture a winning culture
Proactively manage change & complexity



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